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Roll-ups, SICAVs and Vehicle Structuring

A guidebook to two things that turn a good thesis into realized returns: **buy-and-build roll-ups**, which manufacture value through consolidation and operational restoration, and **the vehicles that hold capital** (Luxembourg SICAVs, partnerships, holdcos and long-dated funds), chosen so that investor liquidity, regulation and tax fit the assets.

1.55x
EV uplift from multiple arbitrage alone, 5.8x entry to 9.0x exit

4
vehicles in the architecture, each matched to its assets' liquidity

6
Luxembourg regimes compared, from UCITS to unregulated SCSp

Structure is strategy. The right asset in the wrong wrapper loses to forced selling, tax leakage or distribution limits, however good the thesis.

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01 Why Structure Is Strategy

Most investment failures that aren't thesis failures are structure failures: a liquid book trapped in an illiquid wrapper, an illiquid asset in a vehicle that promises monthly redemptions, a tax-exempt LP hit with unrelated business income, a fund that can't legally be marketed to the investors who want it. This guide covers two levers: **roll-ups**, which create value inside the asset, and **vehicles**, which decide whether that value reaches investors intact.

1.1 Four principles

01

Match liquidity both ways. Investor redemption terms must never be more generous than the assets can support. Daily or monthly dealing is for listed instruments; private stakes need committed, locked capital.

02

Wrap for the investor, not the manager. Domicile, legal form and regime are chosen by who must be able to buy (professional, semi-professional or retail; EU or US; taxable or tax-exempt).

03

Separate what fails differently. Different risk, liquidity and tax profiles go in different vehicles or compartments, so one can't contaminate another.

04

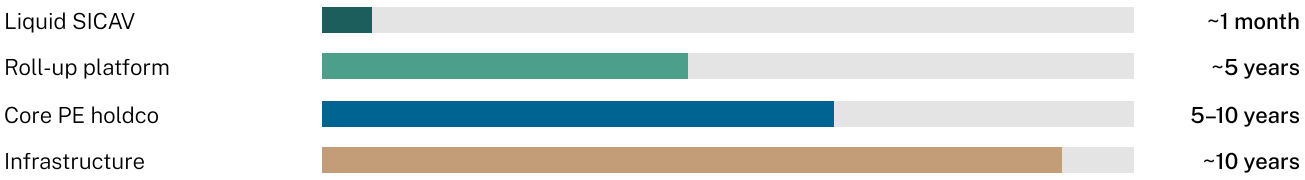
Buy the platform, not just the asset. In roll-ups, value comes from what the platform does to each acquisition: cost of capital, procurement, systems and the exit multiple a scaled business commands.

1.2 The Leviathan architecture as a worked example

Leviathan is planned as four vehicles, each built for a different asset liquidity profile.[(2)]

Vehicle	Assets	Investor liquidity	Planned wrapper
1. Liquid SICAV	Listed equities with a monthly options overlay	Periodic (monthly) dealing	Luxembourg Part II SICAV via a third-party (white-label) ManCo; separate prime brokerage for the overlay
2. Core PE holdco	Private minority and pre-IPO stakes across three sleeves	Locked; 5 / 7 / 10-year holds	Holding company with sub-fund sleeves
3. Infrastructure vehicle	Long-duration real assets and contracted cash flows	Locked, ~10-year term	Closed-ended long-dated vehicle
4. Fourth vehicle	To be defined	Matched to assets once defined	Open

Liquidity ladder: asset liquidity sets the wrapper
indicative time for an investor to exit at fair value



02 Roll-ups: How Buy-and-Build Creates Value

PART A · ROLL-UPS

A roll-up buys a **platform**, then acquires and integrates smaller **add-ons**. It works because small businesses sell at lower multiples than scaled platforms, and a platform runs each business better than its founder could alone.

2.1 The five value levers

Lever	Mechanism	Durability
Multiple arbitrage	Buy add-ons at small-business multiples; the combined EBITDA is valued at a platform multiple on exit	Real but cyclical: it depends on exit markets and shrinks as competition for add-ons rises
Cost synergies	Shared procurement, insurance, finance, HR, IT, marketing; better terms from scale	High if executed; easiest to verify
Revenue synergies	Cross-selling, pricing discipline, cross-site memberships, filling capacity	Valuable but slow; underwrite conservatively
Cost of capital	Platform borrows cheaper and longer than a single site; can unlock real estate value (OpCo / PropCo)	High once scale is reached
Operational restoration	Professional management, systems and capex in businesses starved of both	The deepest moat, and the core of my approach

2.2 The arithmetic of arbitrage

$$\text{Arbitrage value} = \text{Acquired EBITDA} \times (\text{Exit multiple} - \text{Entry multiple})$$

On the marina platform model, a 5.8x entry and 9.0x base-case exit mean **each $1 of acquired EBITDA adds $3.20 of enterprise value at exit before any improvement**, a 1.55x uplift on price. The exit multiple is therefore the most important roll-up assumption, so I always show returns with the arbitrage stripped out (§5).

2.3 What makes a good roll-up market

Test	What I look for	Marina / fitness application
Fragmentation	Many small owner-operators, no dominant consolidator	Single-site marinas and independent gyms
Succession pressure	Founders near retirement without heirs or a buyer	Long-tenured family operators
Durable demand node	Demand anchored by something that doesn't move	Defense corridor: NAVAIR Patuxent River, the Hampton Roads naval cluster
Local moat	Licenses, scarce sites or permits that can't easily be replicated	Waterfront slips and zoning are scarce by nature
Repeatable unit economics	Each site has a similar P&L that systems can improve	Slip rental, storage, fuel, service; memberships plus add-ons
Platform exit buyers	Larger sponsors or strategics who pay up for scale	Institutional marina and leisure platforms; fitness franchisors

03 Integration Models

The decision that most often separates successful roll-ups from failed ones is how much to integrate.

Model	What changes	Strengths	Risks
Full integration	One brand, one P&L, one system; sites become branches	Maximum cost synergy; clean story for buyers	Destroys local goodwill; founder and staff attrition; slow and costly
Federated / rebrand-light	Sites keep names and local identity; platform centralizes the back office	Preserves goodwill and staff; faster close; founders stay engaged	Lower headline synergy; needs strong central reporting
Holding-company	Minimal integration; capital allocation only	Fast and cheap	Little operational value created; weakest exit multiple

My default is federated. In the marina platform, sites such as Desoto's Landing, Vera's Beach Club and Stoney's Broomes Island keep their names and roots; the roll-up is a rebrand-light platform. In the fitness vertical, local gym owners keep their platform and the deal is a rebrand. Local goodwill is the asset a strategic buyer ultimately pays for, so preserving it is value-maximizing, not sentimental.

3.1 What to centralize, what to leave local

Centralize	Leave local
Finance, treasury, financing and insurance	Customer relationships and site management
Procurement (fuel, parts, equipment, consumables)	Brand name, community presence, events
Technology: booking, POS, CRM, reporting	Day-to-day staffing and service culture
Pricing analytics and revenue management	Local pricing within platform guardrails
Capex planning and real estate strategy	Operating hours, seasonal programming

04 How Roll-ups Are Structured and Financed

4.1 Deal structures

Tool	What it does	Why it's used
Rollover equity	Seller reinvests part of proceeds into the platform	Aligns founders who stay; bridges price gaps
Earn-out	Part of the price depends on future performance	When seller projections exceed my underwriting
Seller note	Seller finances part of the price, subordinated to senior debt	Lowers cash at close; signals seller confidence
Management equity / MIP	Equity for site and platform managers	Retaining key operators through integration
Asset vs stock purchase	Asset deals give a tax basis step-up and leave liabilities behind	Default for small targets where feasible

US tax note: for S-corporation targets, an **F reorganization** or a **§338(h)(10)** election can give the buyer an asset-style tax basis step-up while keeping contracts and licenses in place.

4.2 How platforms are financed

- **Acquisition and delayed-draw term loans (DDTL)** pre-commit debt for future add-ons, so each deal doesn't need fresh financing.
- **Leverage on pro forma EBITDA**: lenders size debt on platform EBITDA including acquired sites, which is why add-backs matter so much: inflated "adjusted EBITDA" is the classic roll-up failure point.
- **OpCo / PropCo split**: where the business owns valuable real estate (waterfront land, buildings), separating property from operations can release capital through a sale-leaseback or property-level financing, at the cost of rent and reduced control.
- **Equity cadence**: sponsors typically commit equity for the platform plus a first wave of add-ons, because funding add-ons purely with debt becomes fragile when rates rise.

05 Worked Example: a Five-Site Marina Platform

An illustrative platform built from five sites, each with $2.0M EBITDA, bought at the platform model's 5.8x blended multiple and exited after five years at the model's 9.0x base case.[1]

Step	Assumption	Value
Entry	5 sites × $2.0M EBITDA × 5.8x	**$58.0M EV**
Funding	50% debt / 50% equity	$29.0M debt · **$29.0M equity**
Synergies	Procurement, insurance, financing, systems	+$1.5M EBITDA
Organic growth	4% a year for 5 years on $11.5M	Year-5 EBITDA **$14.0M**
Debt paydown	Free cash flow over 5 years	Net debt $29.0M → $19.0M
Exit	$14.0M × 9.0x	**$126.0M EV · $107.0M equity**

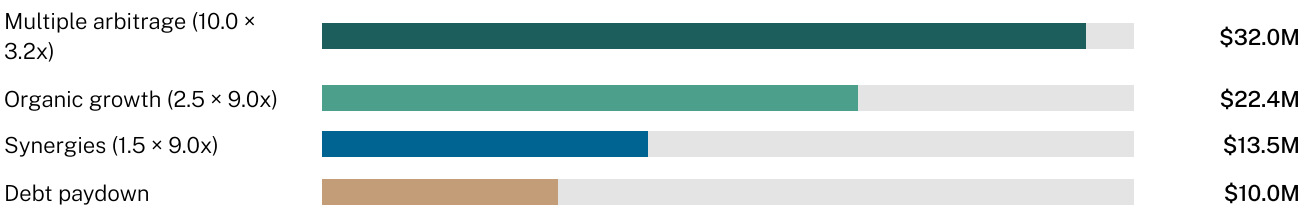
3.69x
equity MOIC over five years

29.8%
equity IRR

41%
of equity gain from multiple arbitrage alone

Where the $78M equity gain comes from[1]

$M; illustrative



5.1 Strip out the arbitrage

The test I apply to every roll-up: **does it still work if the exit multiple doesn't expand?**

Exit multiple	Exit EV	Exit equity	MOIC	IRR
9.0x (base)	$126.0M	$107.0M	3.69x	29.8%
7.0x (half the expansion)	$97.9M	$78.9M	2.72x	22.2%
5.8x (no expansion)	$81.1M	$62.1M	2.14x	16.4%

At no expansion the platform still clears a ~15% hurdle on synergies, growth and paydown alone. **That is the standard: arbitrage is upside, not the thesis.** A roll-up that only works at a higher exit multiple is a bet on markets, not a business plan.

06 How Roll-ups Fail

6.1 Common failure modes

Failure mode	Early warning	How strong platforms avoid it
Add-back inflation	Adjusted EBITDA far above reported; "run-rate" synergies counted before they're achieved	QoE on every material add-on; lend and price on achieved synergies only
Overpaying as competition rises	Add-on multiples creeping toward the platform multiple	Walk-away multiple per deal; proprietary sourcing
Integration overload	Reporting delays, staff turnover, customer complaints	Pace acquisitions to integration capacity; central team built first
Founder and key-person loss	Founders disengage after cash-out	Rollover equity, earn-outs, management equity
Leverage into a downturn	Covenant headroom thinning	Conservative leverage; DDTL headroom; equity reserve
Exit multiple compression	Platform buyers retreat; rates rise	Underwrite to no expansion (§5.1)
Local political and land-use risk	Zoning, permits, major local projects	Treat key local decisions as scheduled re-underwrite dates

Local events matter as much as markets. For the marina platform, the Calvert County data-center process (land swap and park proposal, an AWS application withdrawn in August 2026, the state impact analysis and the November 2026 election) is a re-underwriting point: it can move land values, traffic and household income around the sites. A dark-fiber corridor to NAVAIR Patuxent River makes dual-use compute near Calvert Cliffs an upside scenario worth tracking.

6.2 The fitness vertical

An Equinox-style experience at Planet-Fitness-level pricing (~$40–80 a month), with sauna, cold plunge and spa therapies as high-margin add-ons. The metrics that matter differ from marinas: **member churn, cost to acquire a member, lifetime value, ancillary revenue per member, and utilization by hour.** The same federated model applies: partner with local gyms, let owners keep their platform, rebrand, and centralize the back office.

07 The Luxembourg Toolkit

PART B · VEHICLES

Luxembourg is the default EU domicile for cross-border funds because it offers every regime on one menu, a deep service-provider ecosystem, and EU marketing passports.[3]

7.1 Regimes

Regime	Who can invest	CSSF authorization	Key constraints	Typical use
UCITS (Part I, 2010 Law)	Retail, EU passport	Yes, product-level	5 / 10 / 40 diversification; global exposure capped (commitment ≤100% NAV, or VaR limits); dealing at least twice a month; eligible assets only	Liquid retail funds
Part II UCI (2010 Law)	Retail in Luxembourg; an AIF under AIFMD	Yes, product-level	Flexible risk-spreading set by CSSF circulars; alternative strategies permitted	Liquid and semi-liquid alternatives, options strategies
SIF (2007 Law)	Well-informed investors	Yes	Risk-spreading principle (generally ≤30% in one issuer)	Professional funds needing a regulated label
SICAR (2004 Law)	Well-informed investors	Yes	Must invest in risk capital; no diversification rule	Private equity and venture
RAIF (2016 Law)	Well-informed investors	**No**: must appoint an authorized external AIFM	Flexible; can opt into the SICAR-style regime	Fast-to-market alternative funds
Unregulated SCSp / SCS	Professional investors (via AIFM if AIFMD applies)	No	Contractual freedom; partnership agreement governs	Private equity, infrastructure, co-invest

Subscription tax (taxe d'abonnement): 0.05% a year of NAV for UCITS and Part II funds; 0.01% for SIFs and RAIFs (with exemptions for some classes); SICARs and SICAR-style RAIFs are exempt. Minimum capital for regulated funds is €1.25M, reached within the period the law sets for each regime.

7.2 Legal forms

Form	What it is	Notes
SICAV	Company with variable capital: shares issued and redeemed at NAV	The standard open-ended corporate form; has legal personality
SICAF	Company with fixed capital	Closed-ended corporate form
FCP	Contractual co-ownership managed by a ManCo	No legal personality; tax-transparent in many jurisdictions
SCSp	Special limited partnership	No legal personality; tax-transparent; the PE workhorse

A regime and a form combine: a fund can be a **Part II SICAV**, a **SIF-SCSp**, a **RAIF-SICAV** and so on. **Umbrella structures** hold several compartments (sub-funds) with legally segregated assets and liabilities, each with its own strategy, investors and NAV.

08 How a SICAV Works

8.1 Who does what

Role	Responsibility	Leviathan liquid SICAV (planned) [2]
Management company / AIFM	Regulatory substance, risk management, compliance, valuation oversight, distribution oversight	Third-party ManCo under a white-label arrangement
Investment manager / sponsor	Portfolio decisions, under delegation from the ManCo	Leviathan retains investment discretion as sponsor
Depositary	Safekeeping, cash monitoring, oversight of NAV and dealing	Luxembourg credit institution
Central administration / TA	NAV calculation, shareholder register, subscriptions and redemptions	Appointed through the platform
Prime broker	Financing, margin and execution for the derivatives overlay	Separate, independently negotiated mandate
Auditor	Annual audit	Luxembourg-approved auditor
Board of directors	Governance and oversight of all delegates	Including independent directors

8.2 The white-label model

A white-label (third-party ManCo) platform lets a new sponsor launch a regulated Luxembourg fund without building its own authorized ManCo: substance, compliance, risk and regulatory reporting are rented, and the sponsor keeps the portfolio decisions. **Trade-offs:** platform fees and less control over operational choices; the ManCo has oversight rights and can veto activity outside the risk framework. **When to graduate:** once AUM and product count justify building a Chapter 15 ManCo or an authorized AIFM of one's own.

09 Options Overlays Inside a SICAV

Vehicle 1 is planned as a liquid book with a **monthly rolling options overlay**. The wrapper decides which overlays are allowed.

9.1 Overlay strategies

Strategy	Mechanics	Payoff effect	Use
Covered calls	Sell out-of-the-money calls against long positions, rolled monthly	Income; caps upside on the covered shares	Range-bound or high implied-volatility regimes
Protective puts / put spreads	Buy puts (or put spreads to cut cost)	Defined downside; costs premium	Event risk; tail protection
Collars	Long put financed by a short call	Bounded range; low or zero net premium	Protecting gains in concentrated positions
Long calls / LEAPS	Buy in-the-money or long-dated calls instead of stock	Leveraged upside, limited theta when ITM	Expressing high-conviction theses capital-efficiently

9.2 UCITS versus Part II for an overlay

Issue	UCITS	Part II
Global exposure	Commitment approach ≤100% of NAV, or VaR (absolute ≤20%; relative ≤2× benchmark)	Set by prospectus within CSSF risk-spreading guidance
Cover rules	Every derivative must be covered by the underlying or liquid assets	More flexibility, including uncovered or leveraged positions within stated limits
Counterparty limits (OTC)	10% of NAV for credit institutions, 5% otherwise	Set by risk framework
Short exposure	Synthetic only (no physical short sales)	Wider latitude
Dealing	At least twice a month	As the prospectus sets: monthly suits a monthly roll
Distribution	Retail passport across the EU	Retail in Luxembourg; professional marketing in the EU under the AIFMD passport

Why Part II for this book: a monthly roll and leveraged LEAPS-style expressions fit Part II flexibility better than UCITS cover and exposure rules, while monthly dealing aligns investor liquidity with the overlay cycle.

9.3 What can go wrong

- **Assignment and pin risk**: short calls near expiry can be exercised unexpectedly, which is why rolls usually happen before expiry week.
- **Gap risk**: covered calls add income but don't protect the downside; tail protection is a separate decision.
- **Margin**: prime-broker haircuts rise in volatile markets and can force sales at the worst time.
- **NAV timing and tax**: option marks must be priced consistently with the underlying at the valuation point, and option premium is taxed differently across investor jurisdictions.
- **Behavioral drift**: income-seeking overwriting can quietly turn a fund into a short-volatility strategy.

10 Beyond Luxembourg: Other Wrappers and Cross-Border Issues

10.1 Domicile comparison

Domicile / wrapper	Strengths	Typical investors
Luxembourg (SICAV, RAIF, SCSp)	Full regime menu; EU passports; deep provider base	EU and global institutions, private banks, wealth platforms
Ireland (ICAV, QIAIF)	Fast QIAIF authorization; US check-the-box friendly ICAV	Institutional and hedge-fund-style products
Cayman Islands	Familiar to US and Asian investors; flexible; tax-neutral	Hedge funds, master-feeder structures
Delaware LP	Standard for US investors; tax-transparent	US taxable investors and the US side of master-feeders

10.2 Cross-border tax and marketing issues

Issue	What happens	Common solution
US taxable investors in a non-US corporate fund	A SICAV is generally a **PFIC** for US tax purposes: punitive tax unless a QEF or mark-to-market election is available	Delaware feeder or parallel vehicle; provide QEF statements
US tax-exempt investors	Leverage and operating businesses create **UBTI**	Offshore corporate blocker or feeder
Non-US investors in US operating assets	**ECI** exposure	Blocker corporations
ERISA plans	25% plan-asset test	Monitor benefit-plan percentage; VCOC structures
EU marketing	AIFMD passport for authorized AIFMs to EU professional investors; national private placement for others	Choose an AIFM with passport rights; register before marketing
Retail access to illiquid assets	Retail rules restrict illiquid funds	**ELTIF 2.0** (applies from January 2024): long-term assets with retail access and liquidity tools

AIFMD II (transposition deadline April 2026) adds loan-origination rules, tighter delegation oversight and mandatory liquidity-management tools for open-ended AIFs, which is relevant for any semi-liquid vehicle.

11 Long-Dated Vehicles

11.1 Holdco versus fund versus evergreen

Vehicle type	Capital	Life	Fits
Closed-end fund (SCSp / SICAR)	Committed, called over time	~10 years + extensions	Private equity with a harvest cycle
Holding company	Permanent capital on the balance sheet	Indefinite	Long holds, sleeves, flexible recycling (the Leviathan core PE model)
Evergreen / semi-liquid	Periodic subscriptions and capped redemptions	Indefinite	Wealth channels; requires liquidity tools and a cash sleeve
Infrastructure vehicle	Committed, long-dated	~10–15+ years	Contracted, inflation-linked cash flows
Continuation vehicle	Rolled assets from an earlier vehicle	New term	Extending the hold on winners
Co-invest SPV	Deal-specific	Life of the deal	Larger checks; low-fee LP exposure

11.2 The infrastructure vehicle

A ~10-year vehicle suits assets whose value accrues slowly and predictably: contracted revenue, real estate and digital infrastructure. Structure it as a closed-ended partnership (typically an SCSp, regulated as a RAIF or SIF if investors require it) with a long investment period, distribution-focused economics and inflation linkage. Defense-corridor digital infrastructure (dark fiber and dual-use compute near government nodes) connects it to the roll-up thesis.

12 How Assets Map to Vehicles

If the assets are…	And investors are…	Typical vehicle
Listed, liquid, with derivatives overlays	Professional and private-bank, EU-centric	**Part II SICAV** (white-label to start)
Listed, liquid, plain	EU retail	**UCITS**
Private equity, harvest cycle	Professional, institutional	**SCSp** (unregulated or RAIF), or SICAR
Private stakes, long and flexible holds	Sponsor and close network	**Holdco** with sleeves
Long-dated real assets	Institutional, yield-seeking	**SCSp / RAIF infrastructure vehicle**
Any of the above	US taxable	Add a **Delaware feeder or parallel**
Any of the above	US tax-exempt or non-US into US assets	Add a **blocker**
Illiquid, but needs retail reach	EU retail	**ELTIF 2.0**

Notes Sources and endnotes

1. Roll-up worked example (§5) is illustrative: round numbers chosen to show the mechanics, not output of the marina platform model. Entry and exit multiples (5.8x / 9.0x) are taken from the platform model.
2. Vehicle architecture is sourced from the latest internal planning records. Structures and timelines are indicative and subject to change.
3. Regulatory summaries reflect Luxembourg and EU rules as understood at November 2026 (2010 Law Parts I and II, SIF Law 2007, SICAR Law 2004, RAIF Law 2016, AIFMD and AIFMD II, ELTIF Regulation as amended). Limits are summarized; confirm against current law, CSSF circulars and counsel before structuring.
4. US tax points (PFIC, F reorganization, §338(h)(10), UBTI / ECI) are summaries for orientation, not tax advice.

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